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China Economics | Asia Pacific

Cost Push Intensified in April

Key Takeaways

- Oil and petrochemicals contributing 1.5pp out of the 1.7% MoM rise in PPI headline (March: 0.6pp out of 1.0%M).
- Besides sectors driven by AI and the green transition, downstream PPI remains relatively soft.
- AI demand is spilling over to mobile consumer electronics, reflected in "communication facilities" and a subset of "household appliance".
- Core CPI excluding gold ticked up by 0.2pp to 0.8%Y: besides consumer electronics, service inflation edged up on healthcare and travel.
- We see PPI YoY rising further for the remainder of 2Q26 on a low base, while our oil strategist continues to see Brent at \$110/bbl in 2Q.

Downstream margin is under pressure: A sharp rise in oil and petrochemical prices, combined with continued resilience in coal (energy spillover) and non-ferrous metals (supply constraints), accounted for 90% of the 1.7% PPI MoM in April. By contrast, consumer goods PPI remained negative for a 2nd month at -0.1%, led by food.

Mild spillover to core CPI from AI and oil shocks: YoY inflation for mobile phones and home appliance (includes computers and tablets) rose 1.6pp and 0.2pp in the month. Meanwhile, travel service inflation rose by 0.8pp, likely partly reflecting oil prices (e.g. while vehicle fuel is not in the core, travel package is).

Separately, medical service prices have been trending upward, likely reflecting broadening pricing reform that promotes human capital value while lower consumables costs.

Outlook: Considering the low base in PPI - MoM was -0.4% in May and June last year - PPI YoY will likely remain elevated and even surpass 3% in coming months. Policy should remain on hold in view of improving inflation headlines and [trade strength](#), despite broader margin compression (except where demand is robust, such as AI & the green transition).

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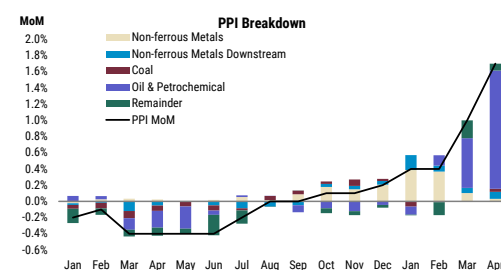
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Exhibit 1 : Summary Table

	Apr-26	Mar-26	Feb-26	1Q26	4Q25
CPI, YoY %	1.2	1.0	1.3	0.8	0.6
Food	-1.6	0.3	1.7	0.4	-0.5
Non-food	1.8	1.2	1.3	1.0	0.8
Core (excl. Food and Energy)	1.2	1.1	1.8	1.2	1.2
CPI, MoM % NSA	0.3	-0.7	1.0	0.2	0.1
Food	-1.6	-2.7	1.9	-0.3	0.4
Non-food	0.7	-0.2	0.8	0.3	0.0
Core (excl. Food and Energy)	0.2	-0.7	0.7	0.1	0.1
PPI, YoY % (broad breakdown)	2.8	0.5	-0.9	-0.6	-2.1
Producer Goods	3.8	1.0	-0.7	-0.3	-2.3
Mining and Quarrying	10.6	2.0	-5.3	-3.8	-6.2
Raw Material	7.1	1.1	-1.9	-0.9	-2.7
Capital Goods	1.5	0.9	0.3	0.3	-1.8
Consumer Goods	-1.0	-1.3	-1.6	-1.5	-1.4
Durables	-0.3	-1.0	-1.6	-1.5	-3.4
PPI, MoM % (select sectors)	1.7	1.0	0.4	0.6	0.1
Non-commodity, MoM %	1.2	0.5	0.2	0.4	0.0
General Equipment	0.0	-0.2	-0.1	-0.1	-0.1
Automobile	0.1	-0.5	-0.2	-0.2	-0.1
Electrical Machinery & Equipment	1.1	1.1	1.2	1.2	0.2
Consumer Electronics	0.6	0.7	0.6	0.6	0.0
Textile	0.7	0.5	0.0	0.1	0.0
Chemical Fibers	5.6	3.4	0.6	1.5	-0.5
Pharmaceutical	-0.4	-0.1	-0.6	-0.5	-0.3
Commodity, MoM %	2.9	2.1	0.8	1.1	0.4
Oil	17.5	10.8	2.8	3.7	-1.4
Coal	1.9	0.1	-0.5	-1.2	2.3
Ferrous Metal Smelting	0.6	0.3	0.1	0.2	-0.4
Non Ferrous Metal Smelting	0.2	-1.0	-4.6	-3.6	2.4
Purchasing (Input) Prices					
YoY %	3.5	0.8	-0.7	-0.4	-2.4
MoM %	2.1	1.2	0.7	0.8	0.2

Source: CEIC, Morgan Stanley Research

Exhibit 2 : PPI surge mostly driven by oil



Source: NBS, Morgan Stanley Research

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